

The Compensation Quarterly

The quiet raise you're giving new hires — *and not your best people.*

Pay compression is the most expensive compensation problem most mid-market companies can't see. Here's why it's quietly building right now, how to detect it before it costs you your tenured talent, and what to do about it.

FIG. 01 — WHERE FOUR ROLES SIT AGAINST MARKET

ILLUSTRATIVE

Senior Engineer · hired 2021

P28 · 0.88



Senior Engineer · hired 2025

P54 · 1.02



Same role. Same team. Same output. The four-year veteran sits 14 points of compa-ratio below the colleague hired last quarter — because the market moved and her pay didn't. This is compression, and it is invisible on any org chart.

THE SETUP

For fifteen years, the advice was simple: to get a raise, leave. *That just stopped being true.*

For most of the last decade and a half, the fastest way to a bigger paycheck was the door. Job switchers consistently out-earned the people who stayed put, and every HR leader knew it. Then, quietly, the pattern broke. Beginning in early 2025, wage growth for employees who **stayed** in their jobs overtook wage growth for those who **switched** — the first sustained reversal since the period around the Great Recession.¹

On its face, that sounds like good news for retention. If staying pays as well as leaving, your best people have less reason to walk. But buried inside that reversal is a trap that catches mid-market companies hardest — and it has a name.

4.1%

Wage growth for job **stayers**, mid-2025 — now *above* switchers for the first time since 2010¹

50–200%

Of annual salary: the cost to replace one departing employee, per SHRM and Gallup²

38%

Of employees who leave cite inadequate salary and benefits as the reason³

THE PROBLEM

Compression is what happens when the market moves and your payroll doesn't.

Pay compression is the narrowing — or outright inversion — of the pay gap between employees, relative to what their experience, performance, or tenure should command. The most painful version is *pay inversion*: a newly hired employee earning more than the tenured colleague sitting beside them doing the same job.

It rarely happens through anyone's bad decision. It happens through inaction. The market rate for a role drifts upward each year. To hire, you have to meet that new, higher market rate — so your new people come in at current numbers. Meanwhile your existing team gets a standard merit cycle, 3 to 4 percent, that quietly falls behind the market's pace. Repeat for three or four years, and the veteran who's been loyal, productive, and quietly underpaid is now earning materially less than the person you hired last quarter.

The cruelest part of compression is that it punishes exactly the people you most want to keep — the ones who stayed.

And here's why the wage-growth reversal makes this urgent rather than reassuring. "Job hugging" — employees clinging to current roles in an uncertain market¹ — means your underpaid veterans aren't leaving today. Their compression is hidden by their own reluctance to move. That feels like stability. It is actually a liability accruing quietly on your books, because the moment the labor market loosens, the people most underpaid relative to market are the ones with the most to gain by leaving — and they'll be the first out the door, all at once, exactly when they're hardest to replace.

THE METHOD • HOW YOU'D ACTUALLY DETECT IT

Compa-ratio is the one number that exposes compression

Compa-ratio compares what you pay someone to the market midpoint for their role. It's the single most useful number in compensation, and most mid-market companies never calculate it.

compa-ratio = actual base salary ÷ market median for the role

A compa-ratio of 1.00 means you're paying exactly market median. 0.88 means you're paying 12% below it. The compression test is simple: line up everyone in the same role, sort by compa-ratio, and look at whether tenure and compa-ratio move *together* (healthy) or *apart* (compression). When your four-year veteran sits at 0.88 and your three-month hire sits at 1.02, you don't have a pay philosophy — you have a market accident.

A WORKED EXAMPLE

What compression looks like on a real team.

Consider a fictional but representative mid-market software company — call it 520 employees, no dedicated compensation analyst, comp owned by an HR director alongside everything else. Here is one engineering job family, sorted by hire date:

EMPLOYEE	HIRED	BASE SALARY	MARKET MEDIAN	COMPA-RATIO	STATUS
Engineer A	2021	\$138,000	\$157,000	0.88	COMPRESSED
Engineer B	2022	\$144,000	\$157,000	0.92	AT RISK
Engineer C	2024	\$152,000	\$157,000	0.97	OK
Engineer D	2025	\$160,000	\$157,000	1.02	OK

Table 1 — Illustrative engineering job family. Salaries and market figures are representative, not drawn from a specific client.

Engineer A has been there the longest, almost certainly knows the codebase best, and earns **\$22,000 less** than the person hired four years after her. Nobody decided this. It accumulated. And on a headcount report, an org chart, or a standard HRIS dashboard, it is completely invisible — every one of these people shows up simply as "Senior Engineer, active, salaried." You cannot see compression without deliberately computing it.

Now run the cost math. If Engineer A leaves over pay — and she is the single most likely to, because she is the most underpaid relative to market — replacing her runs **50% to 200% of her salary** once you count recruiting, lost productivity, and the months before a new hire reaches full output.² At the conservative end, that's roughly **\$69,000** to replace a person you could have retained by closing a \$22,000 gap. The compression fix is almost always cheaper than the turnover it prevents.

WHAT TO DO ABOUT IT – THIS QUARTER

1. **Compute compa-ratios for one job family.** Start with your largest or most business-critical role. You need a market median (a survey source or market-data feed) and your current base salaries. That's it.
2. **Sort by tenure and look for inversion.** If longer-tenured people sit at lower compa-ratios than recent hires, you have compression — quantified, not suspected.
3. **Triage by flight risk, not by size of gap.** The most underpaid person who is also most marketable is your first correction, not necessarily the biggest dollar gap.
4. **Make targeted corrections, then set a cadence.** Compression is not a one-time fix — it reforms every cycle the market moves. The companies that stay ahead of it look at this every quarter, not every time someone resigns.

THE HONEST PART

Why most mid-market companies catch this *after* someone quits.

None of the analysis above is conceptually hard. Compa-ratio is arithmetic. The reason compression goes undetected isn't difficulty — it's that detecting it requires three things the typical mid-market HR function doesn't have together in one place: **current market data** for every role, the **discipline to compute positioning every quarter** rather than only when forced to, and **someone whose job is to look**.

The large enterprises that avoid compression have entire compensation teams and six-figure survey subscriptions doing exactly this, continuously. The 100-to-1,500-person company usually has neither — comp is one responsibility among fifteen sitting on a single HR leader's desk, addressed

reactively, in the panic after a valued person gives notice. By then the correction is a counteroffer, which is the most expensive and least dignified way to fix a pay gap.

That gap — between what enterprise comp teams do continuously and what mid-market HR leaders can do alone — is the entire reason Compifi exists.

FROM THE ADVISORY TEAM

You can't fix what you can't see. *So let's look.*

Compifi pairs enterprise-grade market data with a senior compensation advisor who reads your numbers every quarter — and tells you exactly where the compression is building before it costs you someone. It's the comp function a mid-market company needs and rarely has the headcount to build.

We'll run a compression read on one of your real job families, free, so you can see precisely where you stand against market.

Book a walkthrough → compifi.ai

SOURCES & NOTES

¹ Federal Reserve Bank of Atlanta, Wage Growth Tracker; reporting via CNBC (Aug. 2025) on the sustained reversal in which job-stayer wage growth ($\approx 4.1\%$) exceeded job-switcher wage growth ($\approx 4.0\%$) for the first time since 2010 — a pattern previously seen only around the Great Recession and dot-com downturn.

² Society for Human Resource Management (SHRM) and Gallup: replacement cost of an employee estimated at 50%–200% of annual salary depending on role and seniority; technical roles commonly cited at 100%–150%.

³ Robert Half: 38% of employees who left a role cited inadequate salary and benefits as a primary reason.

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